Careers & Income — Cheat Sheet

Financial Algebra · Unit 1: Careers & Income

Essential vocabulary

Gross pay
Total earnings before any taxes or deductions are taken out

Net pay
The amount actually received after all taxes and deductions

Salary
A fixed annual amount of pay, divided across pay periods regardless of exact hours worked

Hourly wage
Pay based on the number of hours worked

Overtime
Hours beyond 40 in a workweek, usually paid at 1.5 times the regular rate for hourly workers covered by federal law

Commission
Pay calculated as a percent of sales made

Benefits
Non-wage compensation such as health insurance, retirement matching, and paid time off

Pay period
The span of time covered by one paycheck (weekly, biweekly, semimonthly, or monthly)

Deduction
An amount subtracted from gross pay, such as taxes, insurance premiums, or retirement contributions

Year-to-date (YTD)
The running total of an item from January 1 through the current pay period

FICA
Federal payroll taxes for Social Security (6.2%) and Medicare (1.45%), totaling 7.65% for most employees

Withholding
Income tax an employer takes from each paycheck and sends to the government in advance

Taxable income

Pay conversions

Hourly → annual	rate × hours × weeks
Salary → hourly	$\frac{\text{salary}}{\text{hours per week} \times 52}$
Per paycheck	$\frac{\text{annual}}{\text{paychecks per year}}$
Paychecks per year	weekly 52 · biweekly 26 · semimonthly 24 · monthly 12
Overtime	1.5 × rate for hours over 40 in a workweek

Paycheck math

Net pay	gross − all deductions
FICA	6.2% + 1.45% = 7.65%
Percent withheld	$\frac{\text{deductions}}{\text{gross}} \times 100$
Taxable income (course)	gross − pre-tax deductions − $15,000

Course Tax Table (single, illustrative)

10%	$0 – $12,000
12%	$12,000 – $48,000
22%	$48,000 – $103,000
24%	$103,000 – $197,000

Real IRS brackets change yearly — check irs.gov.

Income that is subject to income tax after subtracting allowed amounts such as the standard deduction and pre-tax contributions

Standard deduction
A flat amount of income that is not taxed, available to filers who do not itemize

Marginal tax rate
The tax rate applied to the last (next) dollar of taxable income

Effective tax rate
Total tax divided by income; the average rate actually paid

Pre-tax deduction
A deduction taken before income tax is calculated, which lowers taxable income

W-4 form
The form an employee gives an employer to determine how much federal income tax to withhold

Common misconceptions

- A raise can lower take-home pay because of brackets (false).
- Net pay ≈ gross pay.
- Higher salary always means a better job.
- YTD = this paycheck.

Worked example

1. Salary $54,000 → taxable 54,000 − 15,000 = $39,000
2. Tax = 1,200 + 0.12 × 27,000 = $4,440
3. FICA = 0.0765 × 54,000 = $4,131
4. State 5% = $2,700 → net ≈ $42,729 ≈ $3,560.75/month

Questions to ask before deciding

- What is the total compensation, not just the salary?
- How many paychecks per year?
- Which deductions are pre-tax?
- Is overtime guaranteed?
- What does it cost me to do this job (commute, tools, uniforms)?

Decision tips

- Budget on net pay.
- Always take the full employer match if you can.
- Check every pay stub against your hours.
- Keep pay stubs until you receive your W-2.

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